White gave Morgenthau a voluminous ‘preliminary draft’: United Nations Stabilization Fund and a Bank for Reconstruction of the United and Associated Nations. At a meeting on May 25, and two meetings thereafter of an interdepartmental committee, White outlined his plan for a Fund and a Bank. White now seemed ready to start discussions with representatives of other countries.

Meanwhile news had reached London that the US government was also busy with post-war currency planning. By the middle of July 1942, the Chancellor of the Exchequer had authorized the British Ambassador to Washington, Sir Frederick Phillips, to give the Americans an advance outline of the Clearing Union Plan. London felt that it was time to send a high-ranking official to Washington in order to know the minds of the Americans and to this end, Richard Law, then Parliamentary Under Secretary of State at the Foreign Office, was selected. Late in August 1942, the Clearing Union Plan was handed to the State Department and the Treasury. At the same time, White gave Phillips a copy of the Stabilization Fund plan unofficially. On September 10, 1942, the first discussion of the Keynes plan took place at the State Department in Assistant Secretary Berle’s office in the presence of Phillips, White, and two other officials. On October 6, Berle gave Phillips a set of questions for Keynes to answer and later that month, White met Keynes in London when he was visiting military installations and factories with Morgenthau. It proved to be a fruitful, if sometimes acrimonious exchange of views, with substantial areas of agreement and sharp differences. At the close of the meeting, both White and Keynes agreed that they would return to their colleagues with proposals for modifications on a number of issues.

In mid-November, the State Department advised the British that it was now ready to embark on exploratory and informal discussions on monetary arrangements, commercial policy, and international long-term investment. Later that month, Phillips sent Berle a revised version of the Clearing Union Plan and Keynes’s answers to the questions posed by the State Department. The question was now how to proceed further without getting bogged down. One alternative was to proceed piece-meal, handing over any document as soon as it was ready. The second was that a small British delegation should join Phillips in Washington with the object of having continuous dialogues with the Americans for at least a month. The third was